

MERIDIAN HARBOR FINANCIAL CORP.

2025 Annual Report

Annual Report on Form 10-K style disclosure
for the fiscal year ended December 31, 2025

Published February 2026

Headquarters: Charlotte Bay, NC (fictional)

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Letter to Shareholders

Dear Fellow Shareholders,

2025 was a year in which Meridian Harbor demonstrated the value of a balanced, diversified franchise. We generated record revenue of \$86.1 billion, up 5.2% from the prior year, and net income of \$25.0 billion, or \$16.93 per diluted share. Our return on tangible common equity was 26.4%, comfortably above our through-the-cycle target of 17%, even as we continued to invest heavily in technology, branches, bankers and controls.

The operating environment was more complicated than the headline results suggest. Policy rates began to decline in the second half of the year, compressing deposit spreads in our consumer franchise, while credit card charge-offs continued to normalize toward pre-pandemic levels. At the same time, capital markets activity recovered meaningfully: investment banking fees rose 15.7% and Markets revenue reached a record \$17.9 billion. Diversification is not a slogan for us. It is the reason we can keep investing through every part of the cycle.

We ended the year with a Common Equity Tier 1 (CET1) ratio of 15.1%, well above our regulatory requirement of 10.2% and our management target of 13.0%. That strength allowed us to return \$17.1 billion to shareholders through dividends and share repurchases while still growing loans by 3.3% and deposits by 3.5%. Our fortress balance sheet remains our first line of defense, and we will continue to hold more capital and liquidity than we strictly need.

"We run the company to be resilient in a severe recession and to keep serving clients when others pull back. Strong capital is what lets us be there for them."

Consumer & Community Banking. Our consumer franchise added 1.9 million net new checking accounts and now serves 61.4 million active digital users. We opened 112 new branches in expansion markets and closed 64 lower-traffic locations, continuing a deliberate shift toward advice-led branches supported by a digital-first servicing model. Card spend grew 8% and card loans grew 9%, with charge-offs in line with the guidance we provided at our Investor Day.

Commercial & Investment Bank. In January 2025 we combined our corporate and investment banking business with our commercial banking business to create a single Commercial & Investment Bank. The combination gives middle-market clients direct access to our global product set, from payments and treasury services to capital markets. Global Payments revenue grew 7%, helped by real-time payments volume, which more than doubled after we opened our Real-Time Payments API to corporate clients.

Asset & Wealth Management. Client assets reached \$3.18 trillion and assets under management reached \$2.14 trillion, driven by record long-term net inflows of \$148 billion and higher market levels. Our wealth advisor headcount grew 6%.

Technology and data. We spent \$16.8 billion on technology in 2025, roughly half of it on new capabilities. Our Developer Platform now exposes eighteen production APIs covering accounts, payments, cards, credit, market data and regulatory reporting. These APIs are not only products for clients; they are also the governed data feeds for our most important risk models, including the models that set our allowance for credit losses, measure interest rate risk and project capital under stress. Building one set of well-controlled data pipes for both clients and regulators is one of the most important things we did this year.

Risk and controls. We are realistic about what could go wrong. Geopolitical tension, sticky inflation, elevated asset prices and the rapid adoption of artificial intelligence all carry risks we take seriously. We continued to strengthen our model risk management, cyber defenses and third-party oversight, and we remain focused on operational resilience in our critical payment systems.

Finally, I want to thank our 214,600 employees. Everything in this report is the result of their work, their judgment and their care for clients and communities.

Sincerely,

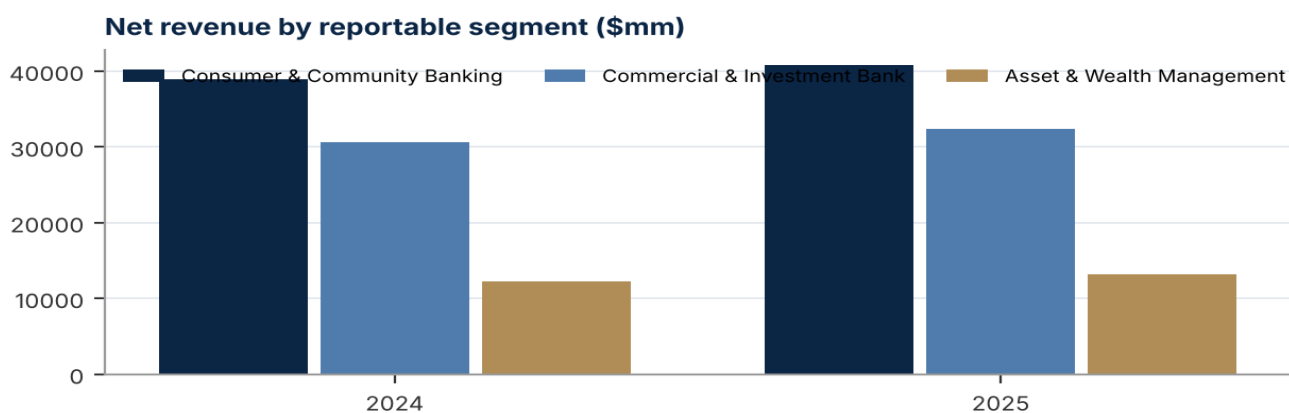
Eleanor V. Ashcombe

Chairman and Chief Executive Officer

Financial Highlights

Selected consolidated financial data for the years ended December 31 (in millions, except per-share data and ratios).

	2025	2024	Change
Total net revenue	86,100	81,860	5.2%
Net interest income	48,620	46,910	3.6%
Noninterest revenue	37,480	34,950	7.2%
Noninterest expense	47,260	45,580	3.7%
Provision for credit losses	6,840	6,120	11.8%
Net income	24,960	23,380	6.8%
Net income applicable to common stockholders	23,900	22,300	7.2%
Diluted EPS	\$16.93	\$15.40	9.9%
Book value per share	\$83.70	\$76.80	9.0%
Tangible book value per share	\$59.60	\$52.90	12.7%
Dividends declared per share	\$4.30	\$3.90	10.3%
Return on common equity	21.1%	20.9%	+20 bps
Return on tangible common equity (ROTCE)	26.4%	26.3%	+10 bps
Overhead (efficiency) ratio	54.9%	55.7%	-80 bps
CET1 ratio (Standardized)	15.1%	14.7%	+39 bps
Supplementary leverage ratio	6.1%	6.1%	+2 bps
Total assets (period end)	1,418,560	1,362,240	4.1%
Loans (period end)	742,300	718,600	3.3%
Deposits (period end)	1,012,400	978,300	3.5%
Headcount	214,600	211,900	1.3%



Management's Discussion and Analysis

Executive Overview

This Management's Discussion and Analysis (MD&A) describes the financial condition and results of operations of Meridian Harbor Financial Corp. and its subsidiaries (collectively, "Meridian Harbor", "the Firm", "we") for 2025 compared with 2024. It should be read with the Consolidated Financial Statements and Notes beginning on page "Consolidated Financial Statements" of this report. Certain amounts are presented on a managed basis, which adjusts revenue for the tax-equivalent impact of tax-exempt income; reconciliations appear in the earnings supplement.

Meridian Harbor is a financial holding company with operations in 31 countries. We organize our activities into three reportable business segments - Consumer & Community Banking (CCB), Commercial & Investment Bank (CIB) and Asset & Wealth Management (AWM) - plus a Corporate segment that includes Treasury and the Chief Investment Office (Treasury/CIO), which manages the Firm's liquidity, investment securities portfolio and structural interest rate risk.

2025 at a glance

- Net income of \$25.0 billion, up 6.8%; diluted EPS of \$16.93, up 9.9%.
- Net interest income of \$48.6 billion, up 3.6%, driven by higher average loan and deposit balances partly offset by deposit margin compression late in the year.
- Noninterest revenue of \$37.5 billion, up 7.2%, on stronger investment banking fees, Markets revenue and asset management fees.
- Provision for credit losses of \$6.8 billion, including net charge-offs of \$6.1 billion and a net reserve build of \$740 million, primarily in Card.
- Noninterest expense of \$47.3 billion, up 3.7%, reflecting compensation, technology investment and marketing; the overhead ratio improved to 54.9%.
- CET1 ratio of 15.1% (Standardized), up 39 bps; average LCR of 116% in the fourth quarter.

2026 outlook

Management currently expects 2026 net interest income of approximately \$50.2 billion, assuming the forward rate curve as of year-end 2025 (two further 25 basis point policy rate reductions in 2026) and modest loan growth. This expectation is consistent with the base-case output of the Firm's Net Interest Income Sensitivity Model (MDL-ALM-014) described under Market Risk Management. Adjusted noninterest expense is expected to be approximately \$49.5 billion. We expect the full-year Card net charge-off rate to be approximately 3.6%.

These expectations are forward-looking statements, subject to the risks and uncertainties described under Forward-Looking Statements and Risk Factors, and actual results may differ materially.

Consolidated Results of Operations

Net revenue

Total net revenue was \$86.1 billion, an increase of \$4.2 billion from 2024. Net interest income rose to \$48.6 billion, as growth in Card loans and wholesale deposits more than offset the impact of lower policy rates in the fourth quarter. The Firm's net interest yield on a managed basis was 2.71%, down 4 basis points, reflecting a higher proportion of lower-yielding liquid assets.

Noninterest revenue increased across most categories. Principal transactions revenue, which reflects Markets client activity, rose on higher volumes in Fixed Income and Equity Markets. Asset management fees increased with higher average market levels and strong net inflows. Investment securities losses of \$410 million reflect repositioning of the

available-for-sale portfolio within Treasury/CIO to extend duration ahead of expected rate cuts.

Noninterest revenue (in millions)	2025	2024	Change
Investment banking fees	6,840	5,910	15.7%
Principal transactions	12,460	11,820	5.4%
Lending- and deposit-related fees	4,310	4,120	4.6%
Asset management fees	9,120	8,340	9.4%
Commissions and other fees	3,020	2,890	4.5%
Investment securities losses	(410)	(620)	33.9%
Mortgage fees and related income	980	1,040	(5.8%)
Card income	1,160	1,450	(20.0%)
Total noninterest revenue	37,480	34,950	7.2%

Provision for credit losses

The provision for credit losses was \$6.8 billion, compared with \$6.1 billion in 2024. The provision comprised net charge-offs of \$6.1 billion and a net addition to the allowance for credit losses of \$740 million. The reserve build was driven by loan growth in Card and a modest increase in the weight placed on the downside macroeconomic scenario, partly offset by improved commercial real estate (CRE) valuations in the multifamily segment. See Credit Risk Management and Note 6 for further detail.

Noninterest expense

Noninterest expense (in millions)	2025	2024	Change
Compensation expense	25,480	24,310	4.8%
Occupancy expense	3,210	3,140	2.2%
Technology, communications and equipment	7,960	7,420	7.3%
Professional and outside services	4,380	4,290	2.1%
Marketing	2,340	2,210	5.9%
Other expense	3,890	4,210	(7.6%)
Total noninterest expense	47,260	45,580	3.7%

Compensation expense increased 4.8%, reflecting higher revenue-related compensation in CIB and AWM and growth in bankers, advisors and technologists. Technology, communications and equipment expense rose 7.3% as we migrated additional applications to public and private cloud, expanded the Developer Platform and retired 1,140 legacy applications. Other expense declined due to lower legal expense and a lower FDIC special assessment.

Income tax expense was \$7.0 billion, an effective tax rate of 22.0% compared with 22.5% in 2024, reflecting changes in the geographic mix of income and lower benefits from tax-oriented investments.

Business Segment Results

The Firm's segment results are presented on a managed basis. Capital is allocated to each segment based on its standalone risk profile, including regulatory capital requirements under the Standardized approach, the stress capital buffer and the G-SIB surcharge. Segment return on equity (ROE) is net income less preferred dividends allocated, divided by average allocated equity.

Segment results (in millions)	Net revenue 2025	Net revenue 2024	Net income 2025	Net income 2024	ROE 2025
Consumer & Community Banking	40,800	38,950	12,300	11,520	30%
Commercial & Investment Bank	32,450	30,620	10,180	9,560	18%
Asset & Wealth Management	13,180	12,290	3,580	3,240	32%
Corporate	(330)	0	(1,100)	(940)	NM
Total Firm	86,100	81,860	24,960	23,380	21%

Consumer & Community Banking

CCB offers deposit, investment and lending products, payments and services to consumers and small businesses through Banking & Wealth Management, Home Lending, Card Services and Auto. The segment serves 74 million customers through 4,180 branches, 15,900 ATMs and digital channels.

Net income was \$12.3 billion, up 6.8%. Net revenue increased 4.7% to \$40.8 billion, driven by higher Card net interest income on loan growth and higher card spend, partly offset by deposit margin compression. Average deposits grew 2.3% to \$612.0 billion as customers moved balances back from money market funds late in the year.

The provision for credit losses was \$6.0 billion, reflecting Card net charge-offs of \$4.6 billion and a reserve build of \$600 million. The Card net charge-off rate was 3.42% compared with 3.18% in 2024, consistent with continued normalization of consumer credit. Home Lending credit remained very strong, with net charge-offs of only \$40 million.

(in millions, except ratios)	2025	2024	Change
Net revenue	40,800	38,950	4.7%
of which: net interest income	31,420	30,380	3.4%
Provision for credit losses	5,960	5,410	10.2%
Noninterest expense	18,880	18,340	2.9%
Net income	12,300	11,520	6.8%
Average equity allocated	40,000	38,500	3.9%
Return on equity	30.0%	29.0%	+100 bps
Average loans	412,600	401,300	2.8%
Average deposits	612,000	598,400	2.3%
Card net charge-off rate	3.4%	3.2%	+24 bps
Active mobile users (millions)	61.4	57.9	6.0%

Digital and payments. Active mobile users grew 6% to 61.4 million. Customers initiated 4.1 billion Zelle-style person-to-person and real-time payments, and 79% of deposit account openings were completed digitally. Account and transaction data shown in our consumer apps is served through the Accounts API and Transactions API, which are also offered to aggregators under our data-access agreements.

Commercial & Investment Bank

CIB provides investment banking, markets, securities services, global payments and lending to corporations, institutional investors, financial institutions, middle-market companies, real estate investors and government entities. In 2025 we completed the integration of the former Commercial Banking segment into CIB.

Net income was \$10.2 billion, up 6.5%, on net revenue of \$32.5 billion. Investment banking fees rose 15.7% to \$6.8 billion, led by debt underwriting and a recovery in advisory activity. Markets revenue was a record \$17.9 billion, up 5.3%, with strength in rates, securitized products and equity derivatives. Global Payments revenue was \$9.6 billion, up 7%, on higher deposit balances and fee growth from real-time payments and cross-border wires.

The provision for credit losses was 820 million, including net charge-offs concentrated in office CRE and a small number of C&I names in the consumer discretionary sector. Average loans grew 3.3%.

(in millions, except ratios)	2025	2024	Change
Net revenue	32,450	30,620	6.0%
of which: net interest income	12,680	12,140	4.4%
Provision for credit losses	820	690	18.8%
Noninterest expense	17,920	17,110	4.7%
Net income	10,180	9,560	6.5%
Average equity allocated	54,000	53,000	1.9%
Return on equity	18.0%	17.0%	+100 bps
Investment banking fees	6,840	5,910	15.7%
Markets revenue	17,920	17,010	5.3%
Average loans	268,000	259,400	3.3%
Average deposits	318,000	302,700	5.1%

Asset & Wealth Management

AWM offers investment and wealth management solutions to institutions, retail investors and high-net-worth individuals across equities, fixed income, alternatives, multi-asset and liquidity strategies, as well as lending, banking and trust services through Global Private Bank.

Net income was \$3.6 billion, up 10.5%, on net revenue of \$13.2 billion. Management fees grew on higher average market levels and record long-term net inflows. Assets under management were \$2,140 billion and client assets were \$3,180 billion at year end. Pre-tax margin was 36%.

(in millions, except ratios)	2025	2024	Change
Net revenue	13,180	12,290	7.2%
of which: net interest income	3,640	3,550	2.5%
Provision for credit losses	60	20	200.0%
Noninterest expense	8,420	7,980	5.5%
Net income	3,580	3,240	10.5%
Average equity allocated	11,000	10,500	4.8%
Return on equity	32.0%	30.0%	+200 bps
Assets under management (\$bn)	2,140	1,910	12.0%
Client assets (\$bn)	3,180	2,870	10.8%
Average loans	61,700	57,900	6.6%

Corporate

The Corporate segment consists of Treasury/CIO and Other Corporate, which includes centrally managed functions and expense not allocated to the business segments. Treasury/CIO manages the Firm's liquidity, funding, capital and structural interest rate and foreign exchange risks, and the investment securities portfolio. It is the owner of the Net Interest Income Sensitivity Model and the Capital Planning & Stress Projection Model.

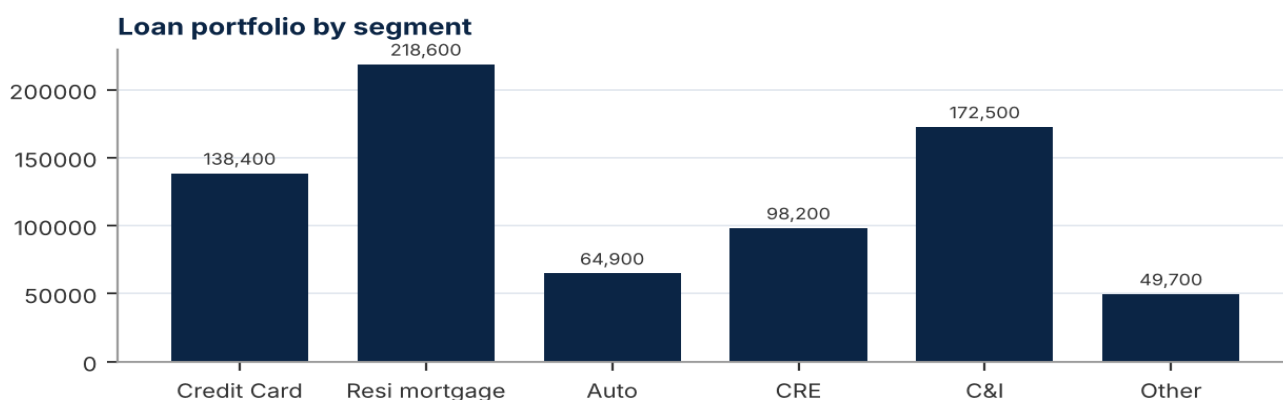
Corporate reported a net loss of -\$1,100 million compared with -\$940 million in 2024. Net revenue of -\$330 million included \$410 million of investment securities losses from portfolio repositioning, partly offset by higher net interest income on the investment portfolio.

Balance Sheet Analysis

Total assets were \$1,418.6 billion at December 31, 2025, up 4.1%. The increase reflected loan growth, higher securities purchased under resale agreements in CIB and higher investment securities, partly offset by lower deposits with banks as Treasury/CIO deployed excess cash into high-quality securities.

Loans grew 3.3% to \$742.3 billion, driven by Card, CRE multifamily and C&I lending to middle-market clients. Deposits grew 3.5% to \$1,012.4 billion, with growth in wholesale operating deposits and consumer savings. The loan-to-deposit ratio was 73%.

Selected balance sheet data (in millions)	Dec 31, 2025	Dec 31, 2024	Change
Cash and due from banks	18,300	19,100	(4.2%)
Deposits with banks	118,400	124,600	(5.0%)
Federal funds sold and securities purchased under resale agreements	128,500	118,300	8.6%
Trading assets	132,900	124,200	7.0%
Available-for-sale securities	112,600	104,900	7.3%
Held-to-maturity securities, net	58,300	62,800	(7.2%)
Loans	742,300	718,600	3.3%
Allowance for loan losses	(15,920)	(15,180)	(4.9%)
Total assets	1,418,560	1,362,240	4.1%
Deposits	1,012,400	978,300	3.5%
Long-term debt	86,700	83,400	4.0%
Short-term borrowings	22,100	19,800	11.6%
Total stockholders' equity	128,740	122,600	5.0%



Capital Risk Management

Capital risk is the risk that the Firm has insufficient capital to support its business activities and associated risks during normal economic environments and under stressed conditions. The Firm's capital management objectives are to hold capital sufficient to cover all material risks, remain "well capitalized" under applicable regulations, maintain debt ratings that support our franchise, and retain flexibility to take advantage of future opportunities.

The Board of Directors approves the Firm's Capital Policy and risk appetite. The Capital Governance Committee, chaired by the Chief Financial Officer, oversees capital planning, the Comprehensive Capital Analysis and Review (CCAR) submission and contingency capital planning. Capital projections are produced using the **Capital Planning & Stress Projection Model (MDL-CAP-003)**, owned by Corporate Treasury - Capital Management, which projects CET1 capital, risk-weighted assets and capital ratios over a nine-quarter horizon under baseline and severely adverse scenarios. Starting capital and RWA are sourced from the Firm's Regulatory Reporting API (API-16), and scenario variables from the Macroeconomic Scenario API (API-14).

Regulatory capital (in millions, except ratios)	Dec 31, 2025	Dec 31, 2024	Change
CET1 capital	98,450	93,120	5.7%
Tier 1 capital	110,620	105,840	4.5%
Total capital	128,900	123,400	4.5%
Standardized RWA	652,800	633,900	3.0%
Advanced RWA	618,300	604,100	2.4%
Total leverage exposure	1,812,000	1,741,000	4.1%
CET1 ratio (Standardized)	15.1%	14.7%	+39 bps
Tier 1 ratio (Standardized)	17.0%	16.7%	+25 bps
Total capital ratio (Standardized)	19.8%	19.5%	+28 bps
Tier 1 leverage ratio	7.9%	7.9%	+1 bps
Supplementary leverage ratio	6.1%	6.1%	+2 bps

Capital requirements

The Firm's Standardized CET1 requirement is 10.2%, comprising the 4.5% regulatory minimum, a stress capital buffer (SCB) of 3.2% effective October 1, 2025, and a G-SIB surcharge of 2.5%. The countercyclical capital buffer is currently set at zero. Management targets a CET1 ratio of approximately 13.0%, providing a buffer above the requirement for macroeconomic uncertainty and pending regulatory changes, including the proposed revisions to the U.S. capital framework.

Capital planning and stress testing

The Firm participates annually in the Federal Reserve's CCAR process and runs its own internally developed severely adverse scenario at least semi-annually. In the 2025 supervisory stress test, the Firm's projected peak-to-trough CET1 decline plus four quarters of planned dividends resulted in a stress capital buffer of 3.2%, effective October 1, 2025 through September 30, 2026.

The Capital Planning & Stress Projection Model is re-run each quarter with updated starting capital, RWA and scenario paths. The model projects: (1) the baseline CET1 path after planned dividends and share repurchases; (2) the severely adverse CET1 path assuming buybacks are suspended and dividends held flat; and (3) an indicative SCB equal to the peak-to-trough decline plus four quarters of planned dividends as a percentage of starting RWA, floored at 2.5%. The most recent projection, based on June 30, 2026 starting capital, is presented in the Firm's Q2 2026 Earnings Release and Financial Supplement.

Capital actions

In 2025 the Firm declared common dividends of \$4.30 per share (\$6.1 billion) and repurchased \$11.0 billion of common stock (38.3 million shares). In June 2025 the Board authorized a new \$30 billion common share repurchase program effective through 2028. The amount and timing of repurchases depend on capital position, market conditions, regulatory considerations and alternative uses of capital.

Liquidity Risk Management

Liquidity risk is the risk that the Firm will be unable to meet its contractual and contingent financial obligations as they arise, or that it does not have the appropriate amount, composition and tenor of funding and liquidity to support its assets and liabilities. Treasury/CIO is responsible for liquidity risk management, with independent oversight by the Liquidity Risk Oversight function within the Chief Risk Office.

Liquidity positions across all legal entities are aggregated daily through the **Treasury Liquidity Positions API (API-15)**, which publishes intraday cash, collateral and high-quality liquid asset (HQLA) positions to the liquidity stress testing engine and to the Firm's asset-liability management models. The same feed supplies balance sheet positions to the Net Interest Income Sensitivity Model.

Liquidity metrics	2025	2024
Liquidity coverage ratio (average, Q4)	116%	113%
Net stable funding ratio	128%	126%
HQLA, average Q4 (in millions)	286,000	274,500
Unencumbered marketable securities (in millions)	318,000	305,000
Loan-to-deposit ratio	73%	73%

The Firm's primary source of funding is its deposit base, which is diversified by client type, product and geography. Approximately 66% of deposits are from consumer and small-business clients, and an estimated 58% of total deposits are insured or fully collateralized. Wholesale operating deposits arising from payments, custody and cash-management relationships provide a stable source of funding. Long-term debt outstanding was \$86.7 billion, with a weighted-average remaining maturity of 6.8 years.

The Firm's internal liquidity stress tests assume a 90-day idiosyncratic and market-wide stress, including the loss of unsecured wholesale funding, accelerated deposit outflows, collateral calls from a three-notch downgrade, and draws on committed facilities. At December 31, 2025, the Firm's liquidity sources exceeded stressed outflows in every material legal entity.

Credit ratings: Moody's Aa2 (long-term deposits, bank), S&P A+ (holding company senior unsecured), Fitch AA- (holding company). All outlooks were stable at year end. (Ratings shown are fictional.)

Credit Risk Management

Credit risk is the risk associated with the default or change in credit profile of a client, counterparty or customer. The Firm provides credit to consumers through mortgages, auto loans and credit cards, and to businesses through loans, lending-related commitments and derivatives. Credit risk is managed by the independent Chief Risk Office and the lines of business within a Board-approved risk appetite framework.

Credit decisions for consumer products are made using automated scorecards exposed through the **Credit Decisioning API (API-09)**, which combines bureau data, internal behavior scores and fraud signals from the Fraud Risk Signals API (API-08). Portfolio-level probability of default (PD) and loss given default (LGD) estimates are produced by the **Credit Risk Scoring API (API-10)**, which serves pool-level parameters to the CECL model, regulatory capital calculations and portfolio monitoring dashboards.

Loan portfolio (in millions)	Loans	% of total	Net charge-offs	NCO rate	Allowance	Allowance / loans
Credit Card	138,400	18.6%	4,620	3.34%	8,640	6.24%
Residential Mortgage	218,600	29.4%	40	0.02%	820	0.38%
Auto	64,900	8.7%	410	0.63%	690	1.06%
Commercial Real Estate	98,200	13.2%	380	0.39%	2,470	2.52%
Commercial & Industrial	172,500	23.2%	560	0.32%	2,760	1.60%
Other Consumer & Wholesale	49,700	6.7%	90	0.18%	540	1.09%
Total	742,300	100.0%	6,100	0.82%	15,920	2.14%

Consumer credit portfolio

The consumer portfolio, including Card, Residential Mortgage, Auto and other consumer loans, totaled \$445.9 billion. Card 30+ day delinquency was 2.31% at year end, up 12 basis points; 90+ day delinquency was 1.18%. Residential mortgage credit remained excellent, with a weighted-average current loan-to-value ratio of 51% and FICO of 768. Auto delinquencies were stable.

Wholesale credit portfolio

Wholesale exposure, including loans, lending-related commitments and derivative receivables, was \$1.21 trillion, of which 74% was investment grade. CRE loans of \$98.2 billion are concentrated in multifamily (61%), with office representing 9% of CRE loans. Criticized office exposure declined in the second half as borrowers refinanced or paid down loans. Within C&I, the largest industry exposures are technology, media & telecom (11%), consumer & retail (10%), industrials (9%) and healthcare (7%).

Allowance for Credit Losses

The allowance for credit losses represents management's estimate of expected credit losses over the remaining expected life of the Firm's loans, in accordance with ASC 326 (Current Expected Credit Losses, or CECL). The allowance is estimated using the **CECL Lifetime Expected Credit Loss Model (MDL-CR-007)**, owned by Consumer & Wholesale Credit Risk - Allowance Methodology and independently validated by Model Risk Governance & Review in November 2025.

The model estimates lifetime expected loss for each portfolio segment as exposure at default multiplied by lifetime probability of default and loss given default under each of three macroeconomic scenarios supplied by the Macroeconomic Scenario API (API-14). Scenario-conditional estimates are weighted by the probabilities approved by the Firm's Scenario Committee. Loan balances and remaining lives are sourced from the Loan Servicing API (API-11). Management then applies qualitative adjustments for risks not fully captured by the models.

Scenario (as of Dec 31, 2025)	Weight	Peak unemployment	Real GDP 2026	House prices	CRE prices
Upside	20%	3.8%	2.6%	4.5%	3.0%
Baseline	50%	4.4%	1.7%	2.2%	(1.0%)
Downside	30%	6.8%	(1.2%)	(8.5%)	(14.0%)

Allowance by segment (in millions)	Modeled	Qualitative overlay	Total allowance	Coverage
Credit Card	8,383	257	8,640	6.24%
Residential Mortgage	765	55	820	0.38%
Auto	724	(34)	690	1.06%
Commercial Real Estate	2,244	226	2,470	2.52%
Commercial & Industrial	2,609	151	2,760	1.60%
Other Consumer & Wholesale	514	26	540	1.09%
Total	15,239	681	15,920	2.14%

Source: CECL_Allowance_Model.xlsx, sheet Allowance_Summary.

Sensitivity. The allowance is sensitive to scenario weights. If the Firm had applied a 100% weight to the downside scenario, the allowance would have been approximately \$20.2 billion, or \$4.2 billion higher than reported. A 100% weight on the baseline scenario would have reduced the allowance by approximately \$1.4 billion. These sensitivities hold the qualitative overlay constant and do not represent management's expectation of losses.

Market Risk Management

Market risk is the risk associated with the effect of changes in market factors, such as interest and foreign exchange rates, equity and commodity prices, credit spreads or implied volatilities, on the value of assets and liabilities held for both the short and long term. Market Risk Management, part of the independent risk function, sets limits, monitors exposures and reports to the Board Risk Committee.

Trading positions are valued daily using prices, curves and volatility surfaces published by the **Market Data API (API-12)** and foreign exchange rates from the **FX Rates API (API-13)**. Both feeds are designated critical data elements under the Firm's BCBS 239 program.

Average 95% 1-day VaR (in millions)	2025	2024	Min 2025	Max 2025
Fixed income	38	41	27	55
Foreign exchange	9	8	5	16
Equities	15	13	9	24
Commodities and other	7	8	4	12
Credit portfolio and other	12	14	8	19
Diversification benefit	(31)	(33)	NM	NM
Total VaR	50	51	37	71

VaR is calculated using historical simulation over a one-year look-back. There were 3 backtesting exceptions in 2025, within the expected range.

Structural interest rate risk (IRRBB)

Structural interest rate risk arises from the Firm's traditional banking activities, including the extension of loans and credit facilities, the taking of deposits and the issuance of debt. Treasury/CIO manages this risk through the investment securities portfolio and interest rate derivatives, within limits approved by the Board Risk Committee.

The Firm measures earnings-at-risk using the **Net Interest Income Sensitivity Model (MDL-ALM-014)**, owned by Corporate Treasury - Asset & Liability Management. The model applies instantaneous parallel shocks to the year-end balance sheet and measures the change in net interest income over the following twelve months. Each position reprices for the portion of the horizon remaining after its repricing date, and deposit rates move by the shock multiplied by a product-specific deposit beta (0.45 for consumer interest-bearing deposits, 0.75 for wholesale interest-bearing deposits). Balances and rates are sourced from the Treasury Liquidity Positions API (API-15), loan repricing profiles from the Loan Servicing API (API-11) and the yield curve from the Market Data API (API-12).

12-month NII sensitivity (in millions)	Shock	Projected NII	Change in NII	% change	Change in EVE (% Tier 1)
Down 200	-200 bps	47,220	(3,017)	(6.0%)	2.5%
Down 100	-100 bps	48,728	(1,508)	(3.0%)	1.2%
Base	0 bps	50,237	0	0.0%	0.0%
Up 100	+100 bps	51,745	1,508	3.0%	(1.2%)
Up 200	+200 bps	53,254	3,017	6.0%	(2.5%)

Source: NII_Sensitivity_Model.xlsx, sheet Summary. Static balance sheet; parallel shocks.

At December 31, 2025, the Firm was asset-sensitive: a +100 basis point parallel shock would increase projected NII by approximately \$1.5 billion (3.0%), while a -200 basis point shock would reduce it by \$3.0 billion ((6.0%)), within the Board limit of a 7.0% decline. The economic value of equity (EVE) declines modestly in rising-rate scenarios because the duration of fixed-rate mortgages and investment securities exceeds that of the Firm's modeled deposit liabilities. The results do not reflect management actions, changes in balance sheet mix or non-parallel curve movements, which

are captured in the quarterly dynamic simulation.

Model Risk Management

Model risk is the potential for adverse consequences from decisions based on incorrect or misused model outputs. The Firm uses models for many purposes, including valuing exposures, measuring risk, estimating credit losses, determining capital and making business decisions. Model risk is governed by the Model Risk Policy, which aligns with supervisory guidance SR 11-7, and overseen by the Model Risk Governance & Review (MRGR) function, which reports to the Chief Risk Officer.

Each model is assigned a risk tier based on materiality and complexity. Tier 1 models require annual independent validation, documented ongoing performance monitoring, and approval by the Firmwide Model Risk Committee before use. Each model's upstream data feeds are registered in the model inventory; changes to an upstream API's schema or business logic trigger a model change review. The Firm's inventory includes approximately 2,900 models, of which the following three Tier 1 models directly drive amounts and metrics disclosed in this report:

Model ID	Model	Owner	Upstream APIs	Last validated
MDL-ALM-014	Net Interest Income Sensitivity Model	Corporate Treasury - Asset & Liability Management	API-12, API-15, API-11	2025-09-18
MDL-CR-007	CECL Lifetime Expected Credit Loss Model	Consumer & Wholesale Credit Risk - Allowance Methodology	API-10, API-11, API-14	2025-11-04
MDL-CAP-003	Capital Planning & Stress Projection Model	Corporate Treasury - Capital Management	API-16, API-14, API-15	2026-02-27

- **MDL-ALM-014 - Net Interest Income Sensitivity Model:** Projects 12-month net interest income under parallel rate shocks and economic value of equity (EVE) sensitivity for IRRBB reporting. Disclosed in: Annual Report - Market Risk Management; Pillar 3 - Interest Rate Risk in the Banking Book.
- **MDL-CR-007 - CECL Lifetime Expected Credit Loss Model:** Estimates the allowance for credit losses under ASC 326 (CECL) using probability-weighted macroeconomic scenarios and PD x LGD x EAD. Disclosed in: Annual Report - Allowance for Credit Losses (Note 6); Q2 2026 Earnings Supplement - Credit Trends.
- **MDL-CAP-003 - Capital Planning & Stress Projection Model:** Projects CET1 capital, RWA and capital ratios over a nine-quarter horizon under baseline and severely adverse scenarios to size distributions. Disclosed in: Annual Report - Capital Risk Management; Pillar 3 - Capital Planning and Stress Testing.

Operational, Technology and Cybersecurity Risk

Operational risk is the risk of an adverse outcome resulting from inadequate or failed internal processes or systems, human factors or external events, including cybersecurity, technology, third-party, fraud and conduct risks. The Firm's Operational Risk Management Framework establishes risk and control self-assessments, key risk indicators, scenario analysis and loss data collection across all lines of business.

Technology and the Developer Platform. Under the oversight of Chief Technology Officer Marcus O. Lindqvist, the Firm operates a single Developer Platform that exposes eighteen production APIs to internal applications, clients and approved third parties. APIs are versioned, authenticated using OAuth 2.0 with mutual TLS for server-to-server traffic, rate-limited and monitored against published service-level objectives. In 2025 the platform handled an average of 4.0 billion calls per month with 99.97% availability. APIs that feed Tier 1 models or regulatory reports - the Credit Risk Scoring, Loan Servicing, Market Data, Macroeconomic Scenario, Treasury Liquidity Positions and Regulatory Reporting APIs - are classified as critical data services with enhanced change management and data-quality controls.

Cybersecurity. The Firm spends more than \$1 billion annually on cybersecurity and employs over 3,500 cybersecurity professionals. Controls include continuous vulnerability management, zero-trust network segmentation, phishing-resistant multifactor authentication and 24x7 global security operations. The Firm experienced no material

cybersecurity incidents in 2025.

Fraud. Real-time fraud scoring through the Fraud Risk Signals API (API-08) is applied to every card authorization, real-time payment and wire. Fraud losses as a percentage of card sales declined to 7.9 basis points.

Operational resilience. Critical services - including payments clearing, card authorization and client access to deposits - are mapped end to end, with impact tolerances tested at least annually through severe-but-plausible scenarios.

Consolidated Financial Statements

Consolidated Statements of Income

Year ended December 31 (in millions, except per share)	2025	2024
Revenue		
Investment banking fees	6,840	5,910
Principal transactions	12,460	11,820
Lending- and deposit-related fees	4,310	4,120
Asset management fees	9,120	8,340
Commissions and other fees	3,020	2,890
Investment securities losses	(410)	(620)
Mortgage fees and related income	980	1,040
Card income	1,160	1,450
Total noninterest revenue	37,480	34,950
Interest income	79,340	77,120
Interest expense	30,720	30,210
Net interest income	48,620	46,910
Total net revenue	86,100	81,860
Provision for credit losses	6,840	6,120
Compensation expense	25,480	24,310
Occupancy expense	3,210	3,140
Technology, communications and equipment	7,960	7,420
Professional and outside services	4,380	4,290
Marketing	2,340	2,210
Other expense	3,890	4,210
Total noninterest expense	47,260	45,580
Income before income tax expense	32,000	30,160
Income tax expense	7,040	6,780
Net income	24,960	23,380
Net income applicable to common stockholders	23,900	22,300
Average diluted shares (millions)	1,412	1,448
Diluted earnings per share (\$)	16.93	15.40

Consolidated Balance Sheets

December 31 (in millions)	2025	2024
Assets		
Cash and due from banks	18,300	19,100
Deposits with banks	118,400	124,600
Federal funds sold and securities purchased under resale agreements	128,500	118,300
Trading assets	132,900	124,200
Available-for-sale securities	112,600	104,900
Held-to-maturity securities, net	58,300	62,800
Loans	742,300	718,600
Allowance for loan losses	(15,920)	(15,180)
Accrued interest and accounts receivable	38,700	36,400
Premises and equipment	19,800	19,200
Goodwill, MSRs and other intangibles	33,480	33,920
Other assets	31,200	15,400
Total assets	1,418,560	1,362,240
Liabilities		
Deposits	1,012,400	978,300
Federal funds purchased and securities loaned or sold under repurchase agreements	58,900	54,200
Short-term borrowings	22,100	19,800
Trading liabilities	48,300	45,600
Accounts payable and other liabilities	61,420	58,340
Long-term debt	86,700	83,400
Total liabilities	1,289,820	1,239,640
Stockholders' equity		
Preferred stock	12,500	13,000
Common stockholders' equity	116,240	109,600
Total stockholders' equity	128,740	122,600
Total liabilities and stockholders' equity	1,418,560	1,362,240

Consolidated Statements of Cash Flows (condensed)

Year ended December 31 (in millions)	2025	2024
Net income	24,960	23,380
Provision for credit losses	6,840	6,120
Depreciation and amortization	8,140	7,720
Net change in trading assets and liabilities	(10,000)	(14,350)
Other operating adjustments	3,920	(2,180)
Net cash provided by operating activities	33,860	20,690
Net change in loans	(30,540)	(26,410)
Net purchases of investment securities	(3,200)	(9,850)
Net change in resale agreements and other	(13,900)	(6,300)
Net cash used in investing activities	(47,640)	(42,560)
Net change in deposits	34,100	29,800
Net change in borrowings and long-term debt	8,400	6,100
Common dividends and share repurchases	(17,100)	(15,900)
Preferred dividends and redemptions	(1,560)	(1,080)
Net cash provided by financing activities	23,840	18,920
Net change in cash and deposits with banks	10,060	(2,950)

Condensed presentation for illustrative purposes; cash and deposits with banks also reflect foreign exchange and restricted cash movements not shown.

Notes to Consolidated Financial Statements

Note 1 - Basis of Presentation

Meridian Harbor Financial Corp. is a financial holding company incorporated under Delaware law. The Consolidated Financial Statements are prepared in accordance with U.S. generally accepted accounting principles (U.S. GAAP). The preparation of financial statements requires management to make estimates and assumptions, the most significant of which relate to the allowance for credit losses, fair value measurements, goodwill impairment, legal reserves and income taxes. Actual results could differ from those estimates.

Note 2 - Significant Accounting Policies

Loans. Loans held for investment are measured at amortized cost. Interest income is recognized using the effective interest method. Consumer loans are generally placed on nonaccrual status when 90 days past due (except credit cards, which accrue until charged off at 180 days); wholesale loans are placed on nonaccrual when full payment of principal or interest is not expected.

Allowance for credit losses. The allowance is measured on a collective (pool) basis where loans share similar risk characteristics, using the CECL model described in Credit Risk Management, and on an individual basis for collateral-dependent and restructured wholesale loans. The reasonable and supportable forecast period is two years, after which loss rates revert to historical averages over 12 months.

Fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants. The Firm classifies fair value measurements within a three-level hierarchy based on the observability of inputs. Level 1 and Level 2 inputs are sourced primarily through the Market Data API.

Note 5 - Loans

Loans by segment (in millions)	Dec 31, 2025	Nonaccrual	30+ days past due	Credit quality indicator
Credit Card	138,400	-	3,197	FICO >= 660: 84%
Residential Mortgage	218,600	2,140	1,530	Current LTV < 80%: 96%
Auto	64,900	190	1,010	FICO >= 660: 81%
Commercial Real Estate	98,200	1,420	610	Investment grade: 62%
Commercial & Industrial	172,500	1,260	540	Investment grade: 69%
Other Consumer & Wholesale	49,700	140	210	Secured: 88%
Total loans	742,300	5,150	7,097	

Note 6 - Allowance for Credit Losses

The following table presents the roll-forward of the allowance for loan losses for 2025 by portfolio segment. The year-end balance is produced by the CECL Lifetime Expected Credit Loss Model (MDL-CR-007) plus approved qualitative adjustments.

2025 (in millions)	Beginning balance	Net charge-offs	Provision	Ending balance
Credit Card	8,040	(4,620)	5,220	8,640
Residential Mortgage	860	(40)	0	820
Auto	670	(410)	430	690
Commercial Real Estate	2,510	(380)	340	2,470
Commercial & Industrial	2,610	(560)	710	2,760
Other Consumer & Wholesale	490	(90)	140	540
Total	15,180	(6,100)	6,840	15,920

Provision for loan losses of \$6,840 million; the remaining \$0 million of the total provision for credit losses relates to lending-related commitments and investment securities.

Note 9 - Deposits

Deposits (in millions)	Dec 31, 2025	Dec 31, 2024
Noninterest-bearing (U.S.)	272,000	268,900
Interest-bearing - consumer savings and checking	402,000	381,600
Interest-bearing - wholesale and time deposits (U.S.)	236,600	229,300
Non-U.S. offices	101,800	98,500
Total deposits	1,012,400	978,300

Note 11 - Long-Term Debt

Long-term debt by maturity (in millions)	Under 1 year	1-5 years	After 5 years	Total
Senior debt - parent	6,100	24,800	27,900	58,800
Subordinated debt	-	3,100	8,800	11,900
Bank-level senior notes and FHLB advances	4,200	9,400	2,400	16,000
Total long-term debt	10,300	37,300	39,100	86,700

Note 13 - Fair Value Measurement

Assets at fair value (in millions)	Level 1	Level 2	Level 3	Total
Trading assets	61,400	68,300	3,200	132,900
Available-for-sale securities	48,900	62,800	900	112,600
Derivative receivables (net)	1,100	41,600	1,700	44,400
Mortgage servicing rights	-	-	6,820	6,820

Note 18 - Regulatory Capital

The Federal Reserve establishes capital requirements for the Firm, including well-capitalized standards. The Firm's binding ratio is the Standardized CET1 ratio. At December 31, 2025 and 2024, the Firm and its principal insured bank subsidiary, Meridian Harbor Bank, N.A., were well capitalized and met all capital requirements to which each was subject. The composition of CET1 capital is disclosed in the Firm's Pillar 3 Regulatory Capital Disclosures.

Glossary of Terms

Term	Definition
ALM	Asset-liability management: managing the mismatch between assets and liabilities in rates, liquidity and currency.
Allowance for credit losses	Reserve for expected lifetime credit losses on loans and commitments under CECL (ASC 326).
API	Application programming interface; the Firm's Developer Platform exposes 18 production APIs (API-01 to API-18).
CCAR	Comprehensive Capital Analysis and Review; the Federal Reserve's annual stress test and capital plan review.
CECL	Current Expected Credit Losses accounting standard requiring lifetime expected loss estimates at origination.
CET1	Common Equity Tier 1 capital: common equity less regulatory deductions; the highest-quality regulatory capital.
EVE	Economic value of equity: present value of assets less present value of liabilities; used to measure IRRBB.
G-SIB surcharge	Additional CET1 buffer applied to global systemically important banks.
HQLA	High-quality liquid assets eligible for the liquidity coverage ratio.
IRRBB	Interest rate risk in the banking book.
LCR	Liquidity coverage ratio: HQLA divided by net cash outflows over a 30-day stress period.
LGD	Loss given default: expected loss as a percentage of exposure if a borrower defaults.
Managed basis	Non-GAAP presentation adjusting revenue for the tax-equivalent impact of tax-exempt income.
MRGR	Model Risk Governance & Review, the independent model validation function.
NCO	Net charge-offs: gross charge-offs less recoveries.
NII	Net interest income: interest income less interest expense.
NSFR	Net stable funding ratio: available stable funding divided by required stable funding.
PD	Probability of default over a given horizon.
ROTCE	Return on tangible common equity: net income applicable to common divided by average tangible common equity.
RWA	Risk-weighted assets: exposures weighted by riskiness under the Standardized or Advanced approaches.
SCB	Stress capital buffer: CET1 buffer derived from the peak-to-trough decline in the supervisory stress test plus four quarters of dividends.
SLR	Supplementary leverage ratio: Tier 1 capital divided by total leverage exposure.
VaR	Value-at-risk: statistical estimate of potential one-day loss in trading positions at a given confidence level.

Forward-Looking Statements

This report contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. These statements are based on the current beliefs and expectations of management and are subject to significant risks and uncertainties, including: economic and market conditions; changes in interest rates and deposit behavior; credit performance of consumer and wholesale borrowers; the effectiveness of the Firm's models, including those used to estimate the allowance for credit losses, interest rate risk and capital; changes in laws and regulations; cybersecurity and technology failures; and the other factors described under Risk Factors. The Firm does not undertake to update any forward-looking statement.

SYNTHETIC DOCUMENT FOR A PROOF OF CONCEPT. Meridian Harbor Financial Corp. is a fictional institution. All names, figures and events are invented and do not describe any real company.